

BONUS 1 OF 6

Pricing & Profit Guide.

What every capsule really costs, how to set a price that sells, and how to bundle kits that pull in \$14+ per order instead of \$1.

-  Full ingredient cost breakdown per capsule
-  3 pricing methods compared, with real numbers
-  Kit & gift-box bundling strategy
-  Margin tables by order size
-  The 5 pricing mistakes that kill new sellers

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Read start to finish once, then keep this as your pricing reference every time you quote a customer.

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Introduction • The pricing trap

"Most new sellers either price too low out of fear, or too high out of guesswork. Both lose money — one on every sale, the other on every customer who never comes back. This guide gives you the actual math, so you never have to guess again."

When you're excited about a new product, the instinct is to price it "so it sells" — which usually means pricing it low. That feels safe. It isn't. If your average capsule costs you close to \$1.00 to produce and you sell it for \$1.20, you're not running a business — you're running a very tiring hobby that pays your ingredients back and nothing else.

The good news: cappuccino capsules have one of the best margin structures in home-made confectionery, *if* you price the way this guide shows you. A well-built \$14 gift kit can cost you under \$5 in materials. That's the gap this bonus is going to help you protect.

✓ **Golden rule.** Never price a single item — price a *system*. Your single-capsule price exists mostly to let people try you for the first time. Your real income comes from kits, gift boxes, and repeat orders, which is exactly what Sections 3 and 4 walk you through.

What a capsule really costs

Before you set any price, you need your real cost per unit — not a guess, an actual number built from your ingredients.

A capsule has three cost components: the **chocolate shell**, the **flavored filling**, and **packaging**. Prices below are typical retail costs for small-batch home production (buying ingredients in 1-2 kg bags, not wholesale) — adjust to your local suppliers, but use this structure.

COMPONENT	TYPICAL QTY PER CAPSULE	COST PER CAPSULE	NOTES
Chocolate shell (dark, milk or white)	~9-11 g	\$0.35-0.50	Couverture chocolate, not compound — it tempers cleaner and tastes better
Flavored filling (coffee, milk powder, sugar, flavoring)	~4-6 g	\$0.20-0.35	Premium flavors (freeze-dried fruit, hazelnut praline) sit at the top of this range
Individual wrap / seal	1 unit	\$0.08-0.12	Cellophane twist-wrap or heat-sealed pouch
Labor (your time, batch-averaged)	—	\$0.10-0.20	Often skipped by new sellers — don't skip it. Your time has a cost.

Realistic total: \$0.85-\$1.15 per capsule, which is exactly why the landing promise of "around \$1.00 per capsule" holds up in practice — depending on the flavor and finish you choose.

⚠ Common mistake. New sellers cost only the ingredients and forget packaging and labor. A capsule that "costs \$0.55" on paper often actually costs \$0.90 once wrapping and your time are counted — and that \$0.35 gap disappears straight from your profit if you don't track it.

Batch costing template

Cost a full batch, then divide — it's far more accurate than costing one capsule in isolation:

BATCH OF	TOTAL INGREDIENT COST	COST PER CAPSULE
12 capsules	\$10.20-\$13.80	\$0.85-\$1.15
25 capsules	\$20.00-\$27.00	\$0.80-\$1.08

BATCH OF	TOTAL INGREDIENT COST	COST PER CAPSULE
50 capsules	\$37.50-\$51.00	\$0.75-\$1.02

Notice the cost per unit drops slightly as batch size grows — buying chocolate and flavorings in larger quantities lowers your per-gram cost. This is one of the reasons kits (Section 3) are more profitable than single sales: you produce in bulk, sell in bundles.

Three ways to set your price

Cost-plus, market-based, and value-based pricing — what each one means for a capsule business, and which to use when.

Method 1 • Cost-plus (your safety net)

Take your real cost per capsule and multiply by 3 to 4. If a capsule costs you \$1.00, price it between \$3.00 and \$4.00 for single-unit sales. This guarantees you never sell below profit, but it ignores what customers are actually willing to pay — which is usually more.

Method 2 • Market-based (what similar sellers charge)

Search "hot chocolate bombs" or "cappuccino bombs" on Instagram, Etsy-style marketplaces, or local seller groups. Individually wrapped novelty confections in this category commonly sell for \$3-6 each, and gift-boxed sets of 6-12 for \$18-45. If your local market supports the higher end, price there — cost-plus is a floor, not a ceiling.

Method 3 • Value-based (the one that actually grows your income)

This is what the "\$14+ kit" promise in the main training is built on. You're not selling a capsule — you're selling a **gift experience****: **a chocolate that transforms into a cappuccino, presented in a nice box, perfect for a birthday, a thank-you, or a self-care treat. People pay for the experience and presentation, not the \$0.35 of chocolate inside.**

Which one to use. Use cost-plus as your floor so you never lose money. Use market-based pricing to sanity-check you're not leaving money on the table. Use value-based thinking for every kit and gift box — that's where the real margin lives.

Kits & gift boxes — the real profit

This is the single biggest lever in your pricing. A well-built kit turns a \$1 product into a \$14+ sale.

A single capsule is a sample. A kit is a gift. The moment you put 6-12 capsules into a nice box with a ribbon and a small instructions card (see Bonus 5), you've changed what you're selling — and what people are willing to pay for it.

KIT SIZE	INGREDIENT COST	PACKAGING COST	SUGGESTED PRICE	PROFIT
Starter Box · 6 capsules, 3 flavors	\$5.10-\$6.90	\$1.50-\$2.50	\$14.00-\$16.00	\$5.60-\$9.40
Gift Kit · 12 capsules, 6 flavors	\$10.20-\$13.80	\$2.50-\$4.00	\$24.00-\$29.00	\$11.20-\$16.30
Premium Gift Kit · 20 capsules, 10 flavors, ribbon + card	\$17.00-\$23.00	\$5.00-\$7.00	\$39.00-\$45.00	\$17.00-\$23.00

This matches exactly what the training promises: options worth more than \$14 per order, with margins that grow — not shrink — as the kit gets bigger.

✓ Why kits beat singles. A customer buying one capsule thinks "is this worth \$3?" A customer buying a gift kit thinks "is this a good gift for my mom?" — a completely different, less price-sensitive question. Always show your kits first, and treat single capsules as the entry point, not the main offer.

Seasonal & occasion bundling

Rename the same kit for the occasion and you can charge a premium without changing the product: "Mother's Day Box", "Thank You Kit", "Holiday Cappuccino Collection". Presentation and timing justify \$2-5 more per kit with zero extra cost to you.

Margin tables by order size

Know your margin percentage at every price point so you can negotiate confidently on bulk or wholesale orders.

ORDER	YOUR COST	SALE PRICE	PROFIT	MARGIN %
1 capsule (single)	\$1.00	\$3.50	\$2.50	71%
Starter Box (6)	\$8.00	\$15.00	\$7.00	47%
Gift Kit (12)	\$16.00	\$26.00	\$10.00	38%
Premium Kit (20)	\$26.00	\$42.00	\$16.00	38%
Wholesale (50+, discounted 15%)	\$45.00	\$68.00	\$23.00	34%

Margin percentage naturally drops a little as order size grows — that's normal and healthy, because your total profit dollars still increase. Never chase margin percentage alone; chase total profit per order and per month.

Break-even & monthly targets

How many kits you actually need to sell to hit a real monthly income — no vague promises, just the arithmetic.

MONTHLY GOAL	AT AVG. PROFIT \$9/KIT	KITS PER WEEK
\$500 extra income	~56 kits/month	~13-14/week
\$1,000 extra income	~112 kits/month	~26-28/week
\$2,500 extra income	~278 kits/month	~64-70/week

That \$2,500/month figure is real, but it's not magic — it's roughly 65-70 gift kits a week once you're established, mixing walk-up orders, WhatsApp/Instagram sales (see Bonus 3), and repeat customers around holidays and birthdays. Most sellers don't get there in week one — they build up from a handful of kits sold to friends and family, then scale as demand grows.

Start smaller, on purpose. Your first realistic target is your first 10 kits sold — not 278. Hit that milestone, learn what flavors and price points your specific customers respond to, then scale the batch size and marketing effort from there.

Five pricing mistakes to avoid

Each of these costs new sellers real money in the first month. Read them once, avoid them forever.

- 1. Pricing to "just cover costs."** If you're not making at least 40-50% margin on kits, you're working for free once you count your time.
- 2. Discounting the first order too deeply.** A steep "friends and family" discount trains your first customers to expect low prices forever. Offer a small extra capsule instead of a price cut.
- 3. Never raising prices.** If every kit sells out within a day or two, that's not success — it's a sign your price is too low. Raise it 10-15% and watch demand.
- 4. Ignoring packaging cost.** A beautiful box costs money. Price it in, don't absorb it — customers are already paying for the presentation.
- 5. Copying someone else's price without knowing their costs.** A seller buying chocolate wholesale at scale can profitably charge less than you. Price from your own numbers in Section 1, not from what you see online.

Your pricing checklist

Run through this before you publish a single price.



Before you set a price

- | | |
|--|-----------|
| ☐ Costed a full batch (ingredients + packaging + labor) | Section 1 |
| ☐ Checked what similar products sell for locally | Section 2 |
| ☐ Built at least 2 kit sizes (Starter + Gift Kit) | Section 3 |
| ☐ Confirmed margin is 40%+ on every kit | Section 4 |
| ☐ Set a realistic first monthly goal (10 kits, not 278) | Section 5 |

Ready to price with confidence



✓ Congratulations. You now have real numbers instead of guesses. Next: Bonus 2 · Packaging, Storage & Shelf Life, so every kit you price here actually holds up until it reaches your customer.

Price with confidence.

You now know exactly what a capsule costs, how to bundle it into a kit worth \$14+, and what a real monthly income actually requires in kits sold.

Next step

Open **Bonus 2 · Packaging, Storage & Shelf Life** to make sure every kit you just priced arrives looking as good as it did the day you made it.

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